

- Q.27 Explain the errors which affect the Trial Balance.
 Q.28 What are the uses of preparing a Trading Account?
 Q.29 Mention the features and format of Journal.
 Q.30 What do you mean by Journal? Discuss the types of Journal.
 Q.31 Distinguish between Journal and Ledger.
 Q.32 State the merits of preparing a Profit and Loss Account.
 Q.33 What are the limitations of accounting?
 Q.34 Explain the importances of Accounting.
 Q.35 Define the terms:
 1) Assets 2) Creditors

SECTION-D

- Note:** Long answer type questions. Attempt any two questions out of three questions. (2x10=20)
 Q.36 Define accounting. Explain the process of accounting.
 Q.37 What do you mean by the Double Entry System? Discuss its importance.
 Q.38 Discuss the importance and specimen of the Balance sheet with imaginary figures.

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Roll No.

3rd Sem / DBM Sub : Fundamentals of Accounting

Time : 3Hrs.

M.M. : 100

SECTION-A

Note: Multiple choice questions. All questions are compulsory (10x1=10)

- Q.1 Which of the following is a Fixed asset?
 a) Stock b) Debtors
 c) Plants d) Creditors
- Q.2 The main Purpose of Financial Accounting is?
 a) To Provide financial information to shareholders
 b) To minimize taxes.
 c) To maintain balance sheet
 d) To keep track of liabilities
- Q.3 Cash book does not record transactions of:
 a) Cash nature b) Credit nature
 c) Cash and Credit nature d) None of these
- Q.4 Recording of transaction in the Journal is called:
 a) Casting b) Posting
 c) Journalising d) Recording
- Q.5 The book in which all accounts are maintained is known as:
 a) Cash Book b) Ledger
 c) Purchase Book d) Journal

- Q.6 The financial position is determined by :
- Balance sheet
 - Trading Account
 - Profit & Loss Account
 - None of these
- Q.7 Owner's investment in business is termed as:
- Drawing
 - Capital
 - Assets
 - Debenture
- Q.8 Which of the following is considered a liability on a company's balance sheet?
- Furniture
 - Bills Receivable
 - Creditors
 - Inventory
- Q.9 Copyrights, Patents and trademarks are examples of
- Current asset
 - Fixed assets
 - Intangible assets
 - Investments
- Q.10 External users of accounting information are:
- Customer
 - Employees
 - Owner
 - Manager

SECTION-B

Note: Objective type questions. All questions are compulsory. (10x1=10)

- Q.11 Accounting period starts from 1 January. (True/False)
- Q.12 Journal is a book of secondary entry. (True/False)
- Q.13 Trial Balance is prepared to check arithmetical accuracy. (True/False)
- Q.14 The items that are purchased for use in the business are not called goods. (True/False)

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- Q.15 Withdrawal of money or goods by the owner from business for personal use is known as drawing. (True/False)
- Q.16 Accounting equation tells that the total of assets are equal to the total of its liabilities and capital. (True/False)
- Q.17 A ledger is the collection of all the accounts. (True/False)
- Q.18 Office rent is an example of direct expense. (True/False)
- Q.19 The excess of revenue of a period over related expenses termed as loss. (True/False)
- Q.20 The business entity concept assumes that business has a distinct entity from its owner. (True/False)

SECTION-C

Note: Short answer type questions. Attempt any twelve questions out of fifteen questions. (12x5=60)

- Q.21 Discuss various users of accounting information.
- Q.22 Distinguish between Accounting and Book-Keeping.
- Q.23 Explain accounting principles in brief.
- Q.24 Define Ledger. Explain the importance of preparing ledger accounts.
- Q.25 Explain the various methods of preparing Trial Balance.
- Q.26 What do you understand about Subsidiary books? Describe the purpose of preparing such books.

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